

Marvell Technology, Inc.

MRVL NASDAQ

Buy

\$234.33 ▲ 5.54%

12M Price Target
\$275.00

52-Week Range
\$61.44 – \$329.88

Market Cap
\$210.32B

MRVL: UBS Sees Billions in AI Revenue, Stock Breaks Out

WHAT HAPPENED

- MRVL popped 5.5% to \$234 — UBS put out a note saying Marvell's custom AI silicon business (chips designed specifically for Amazon, Microsoft, and Google's data centers) could generate "billions" more in revenue than the Street is modeling. When a top-tier bank raises the ceiling on a stock's AI opportunity, momentum funds pile in fast — that's what you're seeing today.
- Options flow is screaming bullish: 97,922 calls vs 36,728 puts (put/call ratio of 0.38, well below 1.0 which would be neutral). Traders are betting big on more upside — the unusual call activity at \$242.50 strike expiring this month tells me smart money thinks this run has legs into next week.

WHY IT MATTERS

The bigger picture here: Marvell is quietly becoming the "second source" for AI chips as hyperscalers (Amazon, Microsoft, Google) try to reduce their dependence on NVIDIA. Every dollar of capex those companies redirect toward custom silicon flows to Marvell, and with the CHIPS Act still funneling federal subsidies into US-based semiconductor design and manufacturing, MRVL is sitting on both a private-sector AI wave AND a government-backed industrial policy tailwind. The stock is 64% up its 52-week range but the UBS upgrade suggests the earnings power isn't fully priced in yet — analysts are still catching up to what management already telegraphed on the last earnings call. Watch for other analysts to follow UBS's lead in the next 2-3 weeks; that's typically when the "analyst piling on" phase drives the next leg up.

POLICY & POLITICAL WATCH

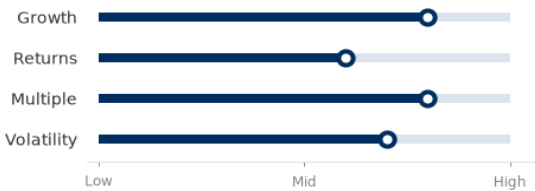
The key policy backdrop is the ongoing implementation of the CHIPS and Science Act — Marvell benefits both directly (via R&D tax credits for US-based chip design) and indirectly (their foundry partner TSMC's Arizona fab is coming online). The wildcard is US-China export controls: the Trump administration has been tightening rules on advanced chip sales to China, and Marvell historically gets ~15-20% of revenue from China. If new export restrictions land on custom AI accelerators (which is being debated in Commerce right now), that's a real headwind. Conversely, any Taiwan-China tension escalation would spike Marvell higher as investors flee to US-designed alternatives.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$234.33
12M Price Target	\$275.00
Upside / (Downside)	+17.4%
Market Cap	\$210.32B
FY2026E Revenue	\$8,200M
FY2027E Revenue	\$10,500M
FY2026E EPS	\$2.85
FY2027E EPS	\$4.10
Fwd P/E	82.2x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



MRVL — Marvell Technology, Inc. | August 18, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$260.00	\$245.00	\$215.00
6 Months	\$300.00	\$270.00	\$200.00
1 Year	\$340.00	\$275.00	\$180.00
2 Years	\$425.00	\$320.00	\$165.00
5 Years	\$600.00	\$425.00	\$140.00
10 Years	\$900.00	\$550.00	\$120.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Semiconductors broadly, especially custom silicon and AI infrastructure names — Barron's is literally calling this a "new bull run" in chips. Policy tailwind from CHIPS Act implementation and hyperscaler capex guidance keeps getting revised higher.

COOLING OFF: Memory chips (Micron, Western Digital) are lagging the AI logic names — commodity pricing pressure and less direct AI leverage. Consumer discretionary is quiet as rate cut expectations get pushed out.

ROTATION WATCH: Money is rotating from mega-cap "Magnificent 7" AI plays into second-derivative AI names like Marvell, FormFactor, and Applied Materials. The trade is: NVIDIA is already priced for perfection, so find the picks-and-shovels names that haven't fully re-rated yet.

RELATED PLAY: If you like MRVL's setup, look at Astera Labs (ALAB) for AI connectivity chips or Credo Technology (CRDO) for high-speed interconnect — both benefit from the same hyperscaler capex wave with less mega-cap concentration risk.

WHO'S WINNING IN THIS SPACE?

- AVGO (Broadcom): The blueprint for what Marvell is becoming — custom AI silicon for Google's TPU program has driven massive re-rating. Investors are asking "who's the next Broadcom?" and Marvell is the answer.
- AMAT (Applied Materials): Semi equipment names ride the same CHIPS Act wave — every new fab announcement means more orders.

MRVL CONTEXT: MRVL is now leading the semi rally per Barron's, which is a change from earlier this year when it was lagging. When a stock transitions from laggard to leader, it usually means institutional buyers are repositioning — that's typically a 2-3 month tailwind, not a one-day move.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

Position Size: 3-5% of portfolio

Entry Points: \$215-225 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: Loss of Amazon Trainium or Microsoft custom silicon contract, or >15% revenue miss

Hedging: Buy protective puts or pair with a short on a richer-multiple AI name like AVGO